

sold at the measure rule target, expecting a retrace to the corrective phase that never happened. Two months later, the company received a buyout offer.

In Tesoro Petroleum (TSO) and Freeport-McMoRan Copper and Gold (FCX), I bought the corrective phase breakout and the stock reached the measure rule target almost exactly. In fact, 71% of the time in my stock picks, the measured move up saw price hit the projected price target. That doesn't mean the measured move works better than expected (60% of the time in bull markets), it's that I was able to select candidates that worked better than average.

In Principal Financial Group (PFG), I bought in right at the top of the second leg and watched as price dropped back to the corrective phase. I predicted the drop would happen, too. At least I got that right even though I took a loss.

In Steelcase (SCS), I measured the height of the first leg and found it to be 36%. That's an unrealistic move to expect in the second leg. Indeed, the stock climbed 14% and then died, handing me a tidy loss.

What I learned is this.

- Lesson: Make sure the first leg rise is a reasonable percentage. Values too high mean an unrealistic second leg move. The median first leg rise is 26%. Oddly, if the first leg rise is more than the median, the success rate rises to 46% from 36% for those patterns with smaller first leg moves.
- Lesson: Do buy in as price exits the corrective phase.
- Lesson: Use a limit order to sell at the target. If you're lucky, it'll hit and price will drop thereafter.
- Lesson: Before buying a stock (not because you see a measured move, but at other times), check to see if a measured move pattern has completed near the buy price. If yes, then price might retrace to the corrective phase before rebounding (or it may just keep dropping).
- Lesson: If you own a stock and are contemplating selling, see if a measure move is in the works. If so, try to sell near the end (high) of the second leg.